Business Management SL · Set B · Paper 2

Question booklet · 90 minutes · 40 marks

Answer every compulsory question and choose one complete Section B option. A calculator is permitted. Use the case evidence and show calculations. Write on separate paper.

Section A · Pierlight Prints [10]

Pierlight sells posters at CU 15. Its variable cost per poster is CU 6 and its monthly fixed costs are CU 13,500. Monthly sales are 1,800 posters. A new printer would increase fixed costs by CU 2,700 per month and reduce variable cost to CU 4.50. Assume selling price and product quality stay the same.

(a) Calculate Pierlight's current monthly profit and margin of safety in units. **[4]**

(b) Calculate the monthly sales volume at which profit would be the same with either printer. **[2]**

(c) Explain two reasons why management might keep the current printer even if its sales forecast exceeds this volume. **[4]**

Section A · Mira Fieldwear [10]

Mira had opening inventory of CU 12,000, purchases of CU 64,000 and closing inventory of CU 16,000. Annual sales revenue was CU 100,000 and other operating expenses CU 27,000. A retailer will accept supplies only on 60-day credit.

(a) Construct an extract of the income statement showing cost of sales, gross profit and operating profit. **[4]**

(b) Calculate the operating profit margin. Explain why an increase in this margin need not remove a shortage of cash. **[3]**

(c) Explain one way Mira could reduce the cash tied up in inventory and one risk of doing so. **[3]**

Section B · Option 1 · Northbank Music [20]

Northbank offers evening lessons. Each place costs the school CU 14 in instructor time and earns CU 32 in fees. Each term it sells 800 places, with fixed costs of CU 11,400. Offering 200 online places would add CU 2,400 in fixed costs. Online places sell for CU 28 and have a variable cost of CU 10. The director estimates that 60 current in-person places would be replaced by online bookings. Parents report uneven internet access.

(a) Calculate Northbank's existing operating profit per term. **[2]**

(b) Calculate the change in term profit from the online proposal and the minimum number of online places needed to cover its extra costs if 60 in-person bookings are lost. **[4]**

(c) Explain two qualitative factors that could affect the decision. **[4]**

(d) Evaluate whether to launch online lessons for the full term. **[10]**

Section B · Option 2 · Grey Heron Foods [20]

Grey Heron has a monthly cash balance of CU 9,000 before opening a kiosk. It expects the kiosk to collect CU 18,000 and pay CU 15,000 operating costs each month for three months. Installation costs CU 10,000 at the start of month 1. The business must keep at least CU 3,000 available at all times. The landlord offers instalments of CU 5,400 at the start of months 1 and 2 instead. Assume operating net inflows arrive at each month-end and no other cash movements.

(a) Calculate the opening-month balance immediately after paying the full installation cost and the month-end balance. **[2]**

(b) Under the instalment plan, calculate the balances immediately after each instalment and the balance at the end of month 3. **[4]**

(c) Explain two reasons actual monthly net inflows might differ from the forecast. **[4]**

(d) Recommend whether Grey Heron should proceed under either offer. **[10]**

End of question booklet · 40 marks